

INTERVIEW | Sharad Pawar

Union Agriculture, Food and Consumer Affairs Minister Sharad Pawar spoke with Managing Editor SHANKKAR AIYAR and answered a volley of charges with a straight bat.

Q. Do you think prices will come down in the near future?

A. Yes. The Rabi harvest expected from February onwards and steps taken by the Government to increase availability through imports will show results. In fact, the wholesale prices of sugar have already come down by Rs 300 to Rs 350 per quintal.

Q. Some would argue the UPA policies are inflationary.

A. For years the terms of trade have been anti-farmer and pro-consumer. This led to poverty, made farming unviable and led to suicides. India's growth was shallow, and sustainable growth required delivering 63 per cent of the population better incomes. The Manmohan Singh Government decided to address this fundamental problem. This has led to higher output and better incomes. Rural economy is thriving. Those in urban India complaining about prices may want to remember that if India has survived the meltdown, it is thanks to farmers.

Q. There are demands for your resignation from political parties...

A. I have been in charge of these departments for six years. Production has gone up. We have stocks despite a drought. Availability has improved and farmers have benefited. I think I am guilty of being pro-farmer and pro-poor.

Q. But the poor is most affected.

A. We are providing grains for the most poor at Rs 3 per kg, for BPL families at Rs 6 and those above poverty line at Rs 7.50, even at a subsidy of Rs 16 for the poorest and over Rs 10 per kg for those above poverty line.

Q. But the public distribution system is a mess there.

A. We must know who is responsible. My job is to ensure procurement, storage and allotment to states so that they can deliver it to the panchayat level. There may be some issues but the responsibility lies solely with the states. Look at the success of PDS in south India, in Kerala and Tamil Nadu, or in Maharashtra.

Q. Are higher procurement prices justified?

"I am guilty of being pro-farmer and pro-poor"



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A. We cannot have a long-term price stability without increasing production.

Q. Why not increase yields? China is growing hybrids yielding 10,500 kg per hectare.

A. There are issues with transgenic seeds. In India we import soya oil but not soya beans because of reservations. Since land and resources are limited, we must look at hybrids to ensure affordability and availability subject to rigorous regulation.

Q. Why is there such a huge difference between wholesale and retail prices?

A. The difference is not so much in food grains but in fruits and vegetables. The mark-up is on account of series of transactions and wastages. Post-harvest management through technology can reduce this but political parties need to con-

sider social costs of replacing small retailers.

Q. Will contract farming help in improving output and bringing down prices?

A. Assured market through contract farming can help farmers devote energies to improve their production and productivity. However, this is a sensitive issue.

Q. What is the long-term solution for better prices?

A. To raise production and productivity.

Q. It is being alleged that sugar prices have gone up because of you.

A. Why sugar alone (laughs)? My responsibility is to make available all essential commodities to consumers at reasonable prices. It is an issue of supply and demand. We had low cane production. International prices shot up and even imports couldn't reduce prices.

Q. Why can't the Government allow Indians to buy land abroad and grow scarce commodities?

A. I know China is doing this in a big way. We invest in oil and coal blocks for energy security, but there are political sensibilities about owning land in other countries.

Q. Why not lease land for contract farming?

A. It is possible. This idea is being discussed between academics and the Government. There is a thinking that Indian farmers could focus on producing what we can export and at the same time import some of what is available overseas.